

01 · How markets work

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Topics in this lesson

- What is a financial market
- Buyers, sellers and price
- Why prices move



Illustrative chart — for education only. Not financial advice.

Explanation

A financial market is simply a place where buyers and sellers meet to exchange an asset such as a currency, a stock, or gold. The agreed price is where the most recent buyer and seller found common ground.

Prices move because supply and demand are always shifting. When more people want to buy than sell, price rises; when more want to sell, price falls. News, data and sentiment all feed this balance.

As a trader, your job is never to predict the future with certainty. It is to read the balance of supply and demand, manage your risk, and act with discipline.